

Abstract:

A few parts of the abstract could be strengthened. The motivation can be more convincing than looking for trends relating two important topics. Also, you should clarify your methods beyond “OLS analysis and comparisons” to explain your approach more technically. And what are some of the little effect and inverse trends that you find? Being more explicit is often helpful for the reader!

Introduction:

The tense throughout much of this is past tense. Is this because your topic changed? It is best to write in the present tense which is often more compelling and interesting to the reader. You can also provide references to support some of your claims. For example, you write that “Brexit itself had no real treatment effect.” Is this due to your own analysis? Other papers that you could cite? You list quite a few indicators but don’t fully explain what you analyze in this paper or provide a preview of your results.

Literature Review:

This is a good start, but you don’t include any citations to any papers. I’m curious why this is and why the papers listed in your references seem to be mostly on other topics (such as minimum wages and labor market outcomes for low-skilled workers) and not referenced in the paper.

Data:

It is difficult to do an empirical analysis with only 36 observations. Which variables did you obtain from which source? You list six sources for your 7 variables, so it appears that you needed to rely on quite a few different sources. From the last weeks I’ve seen that you ran into some challenges with data and that must have been difficult.

I’m not sure about some of your statistics based on the summary statistics.

- What explains negative new builds? Both the UK and EU list negative values for the min and median and the UK is negative for the mean and 3rd quintile.
- The CPI data also raises some questions: the min is 100 in the EU but the other values are in the thousands. The UK range is from 33 to 387, which is too large for the period from 2011 to 2019. Link: <https://www.ons.gov.uk/economy/inflationandpriceindices/timeseries/l522/mm23>
- The UK population is listed at around 40+ million, but should be quite a bit bigger than that I believe. The EU population is listed at around 328 million, but should be more like 440 million I believe.
- What do you make of the negative interest rates in the EU?

Econometric Model:

When writing the regression, please make sure to include the subscripts (here at least year and also another indicator for the country (UK or EU)) and also the error term is very important! You could also be more explicit when defining variables such as the Brexit vote: when exactly is it 1 or 0? And you use the same variable for both the UK and EU regressions I believe. You focus on the housing index and so it would be helpful to provide more guidance on how to interpret this variable and changes in it.

I am glad that you discussed some threats to your analysis. How did you investigate the possible linear or non-linear relationships in your data while determining how exactly to model the relationships? Are you concerned about reverse causality given that the requests for new permits might respond to housing prices or trends, as you note? Do these biases imply that your results are likely too big or too small?

Results:

It is expected that Brexit would have a bigger impact on UK than EU housing markets, so it is good that you find that result! You do a good job interpreting some of the results and their magnitudes. However, I also have a few questions. Do the EU results refer to a different set of regressions? The 0.02, 5.59 and 6.22 unit changes in the housing index don't seem consistent with the EU regression results that are included.

Furthermore, you note a 1% increase in the UK interest rates means a decrease in the housing index of 1.16 units. But it looks like a 1 percentage point increase in the interest rate would cause a 116 unit decrease. Did you divide this by 100 for your interpretation? If so, that isn't quite a 1% change but instead a 0.01 percentage point change.